

Prospect-to-Issue

Standard Operating Procedure

Document Reference	SOP-INS-004
Version	2.1
Effective Date	01 January 2025
Review Date	01 January 2026
Owner	Member Services — Policy Operations
Approved By	Chief Underwriting Officer
Classification	Internal Use Only
Applicable To	All new business and renewal applications for personal and commercial lines policies

1. Purpose

This SOP defines the end-to-end process from initial prospect enquiry through to policy issuance for both new business and renewal policies. It ensures that all applications are captured consistently, underwritten within approved parameters, and issued with accurate documentation within defined service level timeframes.

2. Scope

This procedure applies to:

- New business applications across personal lines (auto, home, renter's, travel) and commercial lines SME products
- Policy renewals initiated by Meridian or requested by the policyholder or their broker
- Applications received via online portal, agent, broker, and bancassurance channels

This procedure does NOT cover: claims-triggered reinstatements, group insurance enrolments (SOP-INS-006), or life and health products.

3. Roles and Responsibilities

Role	Responsibilities
Member Services Representative	Handles inbound enquiries; collects prospect information; initiates application in PAS; provides product information and quotes; coordinates with applicant through to issuance.
Underwriter	Reviews applications referred outside auto-accept parameters; assesses risk; sets terms, conditions, and pricing; approves or declines applications; issues substandard terms where applicable.
Actuarial	Maintains rating algorithms and auto-accept rules; advises on pricing for non-standard risks; supports Underwriting with loss ratio analysis.

4. Pre-requisites and Triggers

For new business: triggered by a prospect enquiry via any channel. For renewals: triggered by the PAS at 60 days prior to policy expiry date.

5. Process Steps

5.1 Prospect Qualification and Quote

#	Activity	Responsible	Output / Notes
1	Prospect enquiry received via channel	Member Services Rep	Enquiry logged in CRM; prospect record created if new
2	Needs assessment conducted	Member Services Rep	Product suitability confirmed; required information gathered per product checklist
3	Application data entered into PAS	Member Services Rep	Application ID generated; data validated for completeness

#	Activity	Responsible	Output / Notes
4	Premium quoted to prospect	PAS / Rating Engine	Quote valid for 30 days; quote reference logged in CRM

5.2 Underwriting Assessment

#	Activity	Responsible	Output / Notes
5	Application submitted to underwriting rules engine	PAS (auto)	Auto-accept: proceed to Step 8. Refer: routed to underwriter queue.
6	Underwriter reviews referred application	Underwriter	Additional information requested if required; risk assessed within 2 business days for personal lines, 5 days for commercial
7	Underwriting decision made	Underwriter	Accept at standard terms / Accept at substandard terms / Decline. Decision recorded in PAS.

5.3 Acceptance and Policy Issuance

#	Activity	Responsible	Output / Notes
8	Terms communicated to prospect / policyholder	Member Services Rep	Acceptance letter or renewal notice dispatched; payment instructions included
9	Prospect / policyholder accepts terms and pays premium	Applicant / Policyholder	Payment received; acceptance confirmed in CRM
10	Policy issued in PAS	Member Services Rep	Policy number assigned; coverage start date confirmed
11	Policy documents dispatched	PAS / Document Engine	Policy Schedule, Certificate of Insurance, and Product Disclosure Statement sent within 2 business days of issuance
12	Broker / agent notification (if applicable)	PAS (auto)	Commission statement generated; policy confirmation sent to producing broker

6. Decision Points and Exception Handling

6.1 Prospect Does Not Accept Terms

- Application status set to 'Not Taken Up' in PAS; reason code recorded
- CRM follow-up task set for 14 days; Member Services Rep may re-engage with revised offer if pricing flexibility exists

6.2 Renewal – Policyholder Non-Response

- If policyholder does not respond to renewal notice within 21 days of expiry, a final reminder is sent

- Policy lapses on expiry date if no renewal payment received; reinstatement process per SOP-INS-011

6.3 Decline

- Member Services Rep notifies applicant in writing within 1 business day of decline decision
- Reason provided at the level permitted by underwriting guidelines and regulatory requirements
- Applicant referred to alternative market if a known placement pathway exists

7. Systems and Tools

System / Tool	Purpose	Access
Policy Administration System (PAS)	Application capture, underwriting workflow, policy issuance	All roles
CRM (Salesforce)	Prospect and customer records, communication history, renewal tracking	Member Services, Underwriting
Rating Engine	Premium calculation, auto-accept rule execution	Automated
Document Management System	Policy document generation and dispatch	PAS integration
Broker Portal	Broker application submission, quote retrieval, commission statements	Broker, Member Services

8. Key Performance Indicators

- Quote-to-bind ratio: Minimum 22% for new business, minimum 78% for renewals
- Application-to-issue cycle time: 100% of auto-accept policies issued within 1 business day; referred policies within 5 business days
- Underwriting referral rate: Below 15% of total new business applications
- Renewal retention rate: Minimum 82% of eligible personal lines renewals retained
- Policy document dispatch SLA: 100% dispatched within 2 business days of issuance

9. Related Documents

- SOP-INS-001: Online Insurance Sales
- SOP-INS-002: Premium Accounting
- SOP-INS-010: Policy Endorsement and Mid-Term Adjustment
- POL-UW-001: Personal Lines Underwriting Policy
- POL-UW-002: Commercial Lines SME Underwriting Policy

10. Document Control and Revision History

Version	Date	Author	Summary of Changes
1.0	01 Mar 2021	J. Cruz, Member Services	Initial release
2.0	10 May 2023	J. Cruz, Member Services	Expanded to include renewal workflow; integrated PAS automation steps

Version	Date	Author	Summary of Changes
2.1	01 Jan 2025	A. Ibrahim, Underwriting	Updated underwriting SLAs; added broker portal steps; revised retention KPIs